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<u>HKSCC Operational Procedures</u>

Definitions

(a) For the convenience of readers, the definitions contained in the Rules are repeated below.

~~**"Intra-day Counter Transfer Instruction" or "ICI"**~~

~~means an instruction given by a Clearing Participant or Clearing Agency Participant to HKSCC in such form as HKSCC may prescribe from time to time, to effect, where applicable, the transfer of designated Multi-counter Eligible Securities of an Issuer held in such Participant's Stock Clearing Account from one relevant stock code to another relevant stock code for settlement purposes, as referred to in Rule 1008;~~

"Multi-counter Eligible Securit~~ies~~y"

means an Eligible Security~~ies~~ of the same class of an Issuer which have been approved or accepted for listing and trading on the Exchange in different Eligible Currencies under separate stock code numbers ~~in accordance with Rule 501, and a "Multi-counter Eligible Security" shall be construed accordingly~~;

~~**"Multi-counter Transfer Instruction"**~~

~~means an instruction given by a Participant to HKSCC in such form as HKSCC may prescribe from time to time, to effect the transfer of Multi-counter Eligible Securities of an Issuer held in the Participant's Stock Accounts (except its Stock Collateral Control Account, SSA with Statement Service and Special Segregated Accounts (in the case of a Clearing Participant or a Custodian Participant) and TSF Accounts (in the case of a TSF CCASS Participant)) from one relevant stock code to another relevant stock code, as referred to in Rule 816A;~~

(b) When used in the Operational Procedures, the following expressions shall have the following meanings unless the context otherwise requires:

~~**"Dual Counter Security"**~~

~~has the same meaning as defined in the Exchange Rules;~~

~~**"secondary counter"**~~

~~has the same meaning as defined in the Exchange Rules;~~

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Section 5
Eligible Securities

5.3 STOCK CODE NUMBER AND DESCRIPTION

Each Eligible Security will be allocated a stock code number by HKSCC. The relevant stock code number~~s~~ of the relevant Eligible Security~~ies~~ should be quoted in all communications with HKSCC concerning ~~those~~ such Eligible Security ~~Securities~~.

To cater for the available record length of the CCASS computer system, HKSCC may also assign an abbreviated name to an Eligible Security.

In general, for Eligible Securities listed or admitted to trading on the Exchange, HKSCC will usually follow the stock codes and descriptions used by the Exchange. For Multi-counter Eligible Securities, notwithstanding that such Multi-counter Eligible Securities are traded in multiple stock codes on the Exchange under different trading counters in different Eligible Currencies, HKSCC will use the stock code of the trading counter in HKD (or in the case where no such trading counter, the stock code of other trading counter as designated by HKSCC from time to time) as the domain stock code in CCASS. For China Connect Securities, HKSCC will usually follow a mapping algorithm and convert the stock codes used by the relevant China Connect Market Operator to a set of 5-digit stock codes for use in CCASS. Participants will be notified of the relevant stock code mapping via circular. A list of the China Connect Securities' stock codes together with their CCASS stock code mapping will be published by HKSCC on the HKEX website.

Section 7
Depository and Related Services

7.2 OPERATING PRINCIPLES

7.2.5 Deposits and Withdrawals of Certificates

Subject as provided below or in the Rules, Participants may, at any time, deposit Eligible Securities in registered form into their Stock Accounts, other than their Stock Collateral Control Accounts, and where the Participants are TSF CCASS Participants, other than their TSF Accounts. An Investor Participant may only deposit Eligible Securities which are in registered form where such Eligible Securities are registered in the name of the Investor Participant concerned or in the name of the Nominee. Deposit of Eligible Securities registered in any other name(s) will not be accepted.

Any Debt Securities in bearer form which are Eligible Securities cannot be deposited into CCASS by Participants, and are only accepted by HKSCC direct from the issuer or the issuer's agent or representative for credit to Participants' Stock Accounts, other than Stock Collateral Control Accounts during the initial issue process. The bearer certificates of Debt Securities credited to Participants' Stock Accounts, other than Stock Collateral Control Accounts if withdrawn from CCASS by Participants, are not allowed to be re-deposited into CCASS at any time thereafter.

Participants may, at any time, withdraw Eligible Securities credited to their Stock Accounts, other than their Stock Collateral Control Accounts and where the Participants are TSF CCASS Participants, other than their TSF Accounts, from CCASS, subject to such conditions and restrictions as HKSCC may from time to time impose. Unless otherwise determined by HKSCC or provided in the Rules, Participants cannot physically deposit into or withdraw from CCASS or an Appointed Depositary via HKSCC Eligible Securities which are~~: (a)~~ uncertificated or issued in global form~~; or (b) Dual Counter Securities under the stock code of the secondary counter~~. Accordingly, physical deposit or withdrawal of China Connect Securities into or from CCASS or the relevant China Connect Clearing House is not available and Rules relating to the physical deposit and withdrawal of securities are not applicable to China Connect Securities.

For the avoidance of doubt, no Eligible Securities can be directly deposited into or withdrawn from any Stock Collateral Control Account and any TSF Account.

7.13 ~~PROCEDURES FOR TRANSFER OF MULTI-COUNTER ELIGIBLE SECURITIES~~[REPEALED]

~~7.13.1 Submission of Multi-counter Transfer Instructions~~

~~A Participant other than an Investor Participant that wishes to effect a transfer of Multi-counter Eligible Securities in its Stock Accounts from one stock code of Multi-counter Eligible Securities of an Issuer to another stock code of Multi-counter Eligible Securities of the same Issuer should submit a Multi-counter Transfer Instruction to HKSCC electronically via the Participant's CCASS Terminal or through other means as specified by HKSCC from time to time. Participants are requested to refer to the CCASS Terminal User Guide for further information on the use of the relevant maintenance function.~~

~~An Investor Participant that wishes to effect a transfer of Multi-counter Eligible Securities in its Stock Account from one stock code of Multi-counter Eligible Securities of an Issuer to another stock code of Multi-counter Eligible Securities of the same Issuer should submit a duly completed and signed Multi-counter Transfer Instruction Form (as set out in the Operating Guide for Investor Participants) to HKSCC or through other means as HKSCC may specify from time to time. The Form, stamped with the company chop of the Investor Participant (if applicable), should be submitted to the Customer Service Centre of HKSCC for processing.~~

~~**7.13.2 Relevant CCASS Report**~~

~~A report recording both the Multi-counter Transfer Instructions and Parallel Trading Conversion Instructions submitted by Participants other than Investor Participants is available daily from the time the report download function is available. For further details regarding the report, please refer to the CCASS Terminal User Guide.~~

7.13A PROCEDURES FOR CONVERSION OF HOLDINGS OF ELIGIBLE SECURITIES SUBJECT TO PARALLEL TRADING ARRANGEMENTS

7.13A.2 Relevant CCASS Report

A report ~~recording both the Multi-counter Transfer Instructions and Parallel Trading Conversion Instructions submitted by Participants other than Investor Participants~~ is available daily from the time when the report download function is available. For further details regarding the report, please refer to the CCASS Terminal User Guide.

Section 10
Exchange Trades - CNS System

For the purposes of this Section 10, (i) references to "Eligible Securities" mean Eligible Securities other than China Connect Securities; (ii) references to "Participants" mean Clearing Participants and Clearing Agency Participants; and (iii) references to "Exchange Participants" include Special Participants, unless specified otherwise.

10.1 ACCEPTANCE FOR SETTLEMENT UNDER THE CNS SYSTEM

10.1.5 Information contained in PCSs

A PCS will provide a Participant with information in relation to all Exchange Trades and/or Clearing Agency Transactions to be cleared and settled by the Participant on that day. For a particular day, a PCS will set out the details of Exchange Trades and/or Clearing Agency Transactions to be settled under the CNS System and the details of its net stock settlement positions in each Eligible Security traded that day (and the relevant money positions). Where the Eligible Security is a Multi-counter Eligible Security, the PCS will set out the net stock settlement positions in each of the Eligible Currency traded that day (and the relevant money positions).

For Exchange Trades relating to interest-bearing eligible Debt Securities, accrued interest amount and trade amount of the trades will be displayed separately in the PCSs. In addition, other information such as interest calculation method, interest rate used and number of days used in the calculation of accrued interest will also be provided in the PCSs.

Details of the Exchange Trades to be settled under the Isolated Trades System and details of trades in non-Eligible Securities will also be provided in the PCSs.

Details of Clearing Agency Transactions to be settled under the CNS System or the Isolated Trades System will be included in the second batch of PCSs only.

The information contained in a PCS will only be indicative of the settlement obligations of a Participant on the due settlement date (i.e. T+2). Trade Amendments may be made, "late" Exchange Trades may be accepted, trades not recognized by the Exchange may be excluded and the settlement obligations may be affected by unsettled positions under the CNS System in the intervening day (i.e. T+1) before the due settlement date.

The main purpose of a PCS, in addition to allowing a Participant to make initial preparation for settlement, is to allow a Participant to carry out daily reconciliation with its internal records of the Exchange Trades and/or Clearing Agency Transactions.

Where a Participant is in the process of opening a bank account in an Eligible Currency for money settlement of Exchange Trades and/or Clearing Agency Transactions accepted under the CNS System, a message will be posted on the PCSs of the Participant concerned to alert the Participant about the alternative payment methods available.

10.2 TRADE AMENDMENTS, "LATE" EXCHANGE TRADES AND TRADES NOT RECOGNIZED BY THE EXCHANGE

10.2.5 Information contained in FCSs

A FCS will contain the following information in relation to (a) trades of a Participant and, in the case of a GCP, including those of its NCPs concluded on the Exchange and designated to it for clearing, or in the case of a Clearing Agency Participant, including those of its Special Participants concluded on the Exchange and/or (b) Clearing Agency Transactions of a Participant and, in the case of a GCP, including those of NCPs, effected on the previous Business Day (i.e. T-day) and which are to be settled on the following Settlement Day (i.e. T+2):

(i) the net stock positions with HKSCC in each Eligible Security (and/or, where an Eligible Security is a Multi-counter Eligible Security, the net stock positions in each of the Eligible Currency traded) (which will each be assigned a unique settlement position number) and their related money positions under the CNS System (taking into account any Trade Amendments accepted by HKSCC, any "late" Exchange Trades accepted by HKSCC and the exclusion of any trades not recognized by the Exchange) as well as details of individual Exchange Trades and Clearing Agency Transactions of a Participant effected on the previous Business Day;

(ii) the net money position with HKSCC for all net stock positions under the CNS System;

(iii) details of Exchange Trades accepted for settlement under the Isolated Trades System and their related money positions (including any Trade Amendments thereto approved by the Exchange) and accrued interest amounts of Exchange Trades in eligible interest-bearing Debt Securities;

(iv) details of Clearing Agency Transactions accepted for settlement under the CNS System or accepted for settlement under the Isolated Trades System and their related money positions (including any amendments thereto accepted by HKSCC);

(v) details of Trade Amendments, any "late" Exchange Trades accepted by HKSCC and the exclusion of any trades not recognized by the Exchange, if any;

(vi) details of trades effected in securities listed on the Exchange which are not Eligible Securities (and any Trade Amendments thereto); and

(vii) details of fees payable in relation to the settlement of Exchange Trades and Clearing Agency Transactions in CCASS (see Section 21.1).

Where a Participant is in the process of opening a bank account in an Eligible Currency for money settlement of Exchange Trades and/or Clearing Agency Transactions accepted under CNS System, a message will be posted on the FCS of the Participant concerned to alert the Participant about the alternative payment methods available.

10.3 NETTING

10.3.1 Determination of daily stock settlement positions

The daily stock settlement positions of a Clearing Participant or Clearing Agency Participant with HKSCC, arising out of Exchange Trades or Clearing Agency Transactions, as the case may be, accepted for settlement under the CNS System, will be determined based on the following steps:

(i) Novation-: the Novation of Exchange Trades and Clearing Agency Transactions upon their acceptance for settlement under the CNS System, pursuant to which HKSCC becomes substituted as the settlement counterparty to the relevant Clearing Participants and Clearing

Agency Participants (the novated contracts being referred to as "Market Contracts");

(ii) daily netting: the stock positions of a Clearing Participant or Clearing Agency Participant under the Market Contracts (which may include novated Clearing Agency Transactions), on the same day, in the same Eligible Security (and arising from Exchange Trades executed by the same Special Participant in the case of a Clearing Agency Participant which is a China Connect Clearing House), being offset against each other to result in one net long or net short stock position with HKSCC, in each Eligible Security, on each Business Day (and in respect of each Special Participant in the case of a Clearing Agency Participant which is a China Connect Clearing House), provided that, in the case of an Eligible Security which is a Multi-counter Eligible Security, such offset will be for Market Contracts traded in the same Eligible Currency, so as to result in one net long or net short stock position with HKSCC in each of the Eligible Currency traded. Each such net long or net short stock position of a Clearing Participant or Clearing Agency Participant will be assigned a unique Settlement Position Number for reference purposes; ~~and~~

(iii) cross-day netting: the netting process operates on a continuous basis in the sense that any outstanding unsettled stock position of a Clearing Participant or Clearing Agency Participant in an Eligible Security (and in respect of the same Special Participant in the case of a Clearing Agency Participant which is a China Connect Clearing House) on a Settlement Day is carried forward to the following Settlement Day and is offset against any opposite stock position in the same Eligible Security (and in respect of the same Special Participant in the case of a Clearing Agency Participant which is a China Connect Clearing House) due on the following Settlement Day. If the outstanding stock position so carried forward to the following Settlement Day and the stock position in the same Eligible Security (and in respect of the same Special Participant in the case of a Clearing Agency Participant which is a China Connect Clearing House) due for settlement on the following Settlement Day are both long or both short, the two stock positions will remain separate and distinct for settlement purposes in CCASS (although they will be added together for the purpose of determining the aggregate stock position of the Clearing Participant or Clearing Agency Participant in that Eligible Security, and in the case of a Clearing Agency Participant which is a China Connect Clearing House, in respect of the same Special Participant, at the time)~~.~~, provided that, in the case of an Eligible Security which is a Multi-counter Eligible Security, such offset under the cross-day netting process will be for Market Contracts traded in the same Eligible Currency, so as to result in one net long or net short stock position with HKSCC in each of the Eligible Currency traded; and

(iv) same stock netting: before the first Batch-settlement-run on a Settlement Day, there will be a same stock netting process applicable to a Multi-counter Eligible Security, under which any unsettled stock positions of a Clearing Participant or Clearing Agency Participant in a Multi-counter Eligible Security traded in one Eligible Currency will be offset against the unsettled opposite direction stock positions of the same Multi-counter Eligible Security traded in other Eligible Currency (and in respect of the same Special Participant in the case of a Clearing Agency Participant which is a China Connect Clearing House) that are due or overdue on the same Settlement Day.

For a Multi-counter Eligible Security which is traded in more than two Eligible Currencies on the Exchange, HKSCC will conduct same stock netting in accordance with the following algorithm when there are more than one stock position of the same direction to be offset against another stock position of opposite direction:

(a) age – the stock position which remains unsettled for the longest period of time; and if this is the same for all stock positions, then

(b) position price (i.e. position amount divided by position quantity) – the long/short stock position which has the highest/lowest position price (to be calculated in HKD equivalent at the exchange rate determined by HKSCC from time to time for any non-HKD position price); and if this is the same for all stock positions, then

(c) position size – the stock position which has the smallest size (i.e. quantity); and if this is the same for all positions, then

(d) random.

10.3.3 Example (daily netting)

The concept of daily netting of Market Contracts in the same Eligible Security can be illustrated as follows~~-~~:

On T-day, Participant A had the following five Exchange Trades for settlement in stock X.

Trade Counterparty ~~(assuming they are all DCPs)~~	**Settlement Counter-Party**	**Action by Participant A**	**Quantity (stock)**	**Unit Price**	**Money Positions**
Participant B	HKSCC	Sell (Deliver)	10,000	$10.0	$100,000CR
Participant B	HKSCC	Sell (Deliver)	25,000	$ 9.0	$225,000CR
Participant C	HKSCC	Buy (Receive)	20,000	$11.0	$220,000DR

Participant D	HKSCC	Buy (Receive)	10,000	$10.0	$100,000DR
Participant E	HKSCC	Sell (Deliver)	15,000	$11.0	$165,000CR
		Net sell (Deliver)	20,000		$170,000 CR

After netting, Participant A has a net short stock position of 20,000 in stock X, with a corresponding money position of $170,000.00 CR. The average position price for the CNS stock position of Participant A in stock X is therefore $8.5 (i.e. $170,000 / 20,000).

10.3.4 Example (cross-day netting - two opposite stock positions)

The concept of cross-day netting ~~(CNS)~~ involving two opposite stock positions of a Participant in the same Eligible Security can be illustrated by using the following example~~-~~:

At the beginning of a Settlement Day ("S-~~D~~day"), Participant A has the following unsettled positions in stock X before the settlement on the day begins.

Due settlement date of stock positions	Unsettled stock positions	Money positions
S-1	2,000 (short)	$2,200CR
S	3,000 (long)	$3,600DR

At the beginning of S-day, the long stock position of 3,000 due on S-day will be offset against the outstanding short stock position of 2,000 due on S-1, as follows~~-~~:

Due settlement date of stock position	Unsettled stock positions before cross-day netting ~~CNS~~ on S-day	Stock positions offset under cross-day netting ~~settled by CNS~~ on S-day	Unsettled stock positions after cross-day netting~~CNS~~
S-1	2,000 (short)	2,000 (short)	0
S	3,000 (long)	2,000 (long)	1,000 (long)

Due settlement date of stock positions	Money positions before cross-day netting ~~CNS~~ on S-day	Money positions settled under cross-day netting ~~by CNS~~	Unsettled money positions after cross-day netting

		on S-day	
S-1	$2,200CR	$2,200CR	0
S	$3,600DR	$2,400DR*	$1,200DR

Money position ~~to be~~ settled under cross-day netting: $2,400 - $2,200 = $200 DR

* The amount $2,400 is derived from $3,600 x 2,000/3,000

As a result of cross-day netting ~~of CNS~~, Participant A has a net long stock position of 1,000 in stock X (with a corresponding money position of $1,200 DR), to be settled on S-day. The amount of $200 arising out of the process of cross-day netting ~~CNS~~ will be debited by HKSCC to the Settlement Account (a sub-account of its Money Ledger) of Participant A for settlement on the same day.

Assuming ~~Further settlement in respect of~~ the net long stock position of 1,000 with a corresponding position of $1,200 DR in stock X ~~may be effected~~has been settled during subsequent Batch-settlement-run on S-day. The total stock positions and money positions for stock X settled on S-day should be 1,000 long (3,000 - 2,000) and $1,400 DR ($3,600 - $2,200)

10.3.5 Example (cross-day netting - stock positions both long or both short)

The concept of cross-day netting ~~(CNS)~~ involving two stock positions of a Participant in the same Eligible Security which are both long or both short can be illustrated by using the following example.

Participant A has the following positions in stock X on S-day.

Due settlement date of stock positions	Unsettled stock positions	Money positions
S-1	2,000(short)	$2,200CR
S	3,000(short)	$3,600CR

On S-day, Participant A will have an aggregate short stock position of 5,000 in stock X. However, for the purpose of settlement under the CNS System, the two stock positions will remain separate and distinct. Similarly, the corresponding money positions of the two stock positions will also remain as separate and distinct.

Settlement may be effected in respect of the two stock positions in ~~S~~stock X on S-day.

10.3.6 Example (cross-day netting - three stock positions)

The concept of cross-day netting ~~(CNS)~~ involving three stock positions of a Participant in the same Eligible Security, two of which being either both long or both short, and the remaining one being opposite to the other two, can be illustrated by using the following example. The example demonstrates that any offsetting by cross-day netting will be effected first against the oldest opposite stock position.

Participant A has the following three positions in stock X on S-day.

Due settlement date of stock positions	**Unsettled stock positions**	**Money positions**
S-2	2,000(short)	$2,400CR
S-1	1,000(short)	$1,300CR
S	2,600(long)	$3,900DR

At the beginning of S-day, the long stock position of 2,600 due on S-day will be first offset against the "oldest" outstanding short position, i.e. the short stock position of 2,000 due on S-2. The remainder part of the long position will then be offset with the short position of 1,000 due on S-1. The result will be as follows:

Stock Positions	**Stock positions offset under cross-day netting ~~settled by CNS~~**	**Money positions offset under cross-day netting ~~settled by CNS~~**	**Unsettled stock positions after cross-day netting ~~CNS~~**	**Unsettled money positions after cross-day netting ~~CNS~~**
S-2	2,000(short)	$2,400CR	Nil	Nil
S-1	600(short)	$780CR	400(short)	$520CR
S	2,600(long)	$3,900DR	Nil	Nil

Following cross-day netting at the beginning of S-day, Participant A will have one outstanding CNS short position in stock X of 400, with a corresponding money position of $520 CR.

It should be noted that a partial settlement has been made in respect of the outstanding ~~CNS~~ short position of 1,000 due on S-1. The money settlement to be effected as a result of the partial delivery is worked out by multiplying $1,300 by 600 / 1,000.

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10.3.7 Example (daily netting for Multi-counter Eligible Securities)

Where stock X is a Multi-counter Eligible Security:

Trade Counterparty	Settlement Counter-Party	Action by Participant A	Quantity (stock)	Unit Price	Money Positions
Participant B	HKSCC	Sell (Deliver)	10,000	HKD10.0	HKD100,000CR
Participant B	HKSCC	Sell (Deliver)	25,000	HKD 12.0	HKD300,000CR
Participant C	HKSCC	Buy (Receive)	20,000	HKD11.0	HKD220,000DR
Participant D	HKSCC	Buy (Receive)	9,000	RMB10.0	RMB90,000DR
Participant E	HKSCC	Sell (Deliver)	15,000	RMB11.0	RMB165,000CR
		Net sell for HKD counter (Deliver)	15,000		HKD180,000 CR
		Net sell for RMB counter (Deliver)	6,000		RMB75,000CR

After daily netting, CNS positions will be generated for each of the Eligible Currency traded that day. Therefore, Participant A has a net short stock position of 15,000 (10,000 + 25,000 – 20,000) in stock X (traded in HKD counter), with a corresponding money position of HKD180,000.00 CR (HKD100,000 + HKD300,000 – HKD220,000), and a net short position of 6,000 (15,000 – 9,000) in stock X (traded in RMB counter), with a corresponding money position of RMB75,000 CR (RMB165,000 – RMB90,000). The average position price for the CNS stock position of Participant A in stock X is therefore HKD12.0 (HKD180,000 / 15,000) and RMB12.50 (RMB75,000 / 6,000) respectively.

10.3.8 Example (same stock netting for Multi-counter Eligible Securities - opposite stock positions)

Same stock netting only applies to opposite direction stock positions of a Multi-counter Eligible Security traded in different Eligible Currencies. The following example demonstrates that same stock netting will only apply to net long stock positions and net short stock positions of the same Multi-counter Eligible Security traded in different Eligible Currencies after the daily netting and/or cross-day netting processes.

At the beginning of S-day, Participant A has the following unsettled positions in stock W and stock X due on the same Settlement Day before the settlement on the day begins.

Stock	Unsettled stock positions	Money positions	Money positions in HKD	Unit Price in HKD
Stock W	3,000 (short)	HKD15,000CR	15,000.00CR	5.00
Stock W	1,000 (long)	RMB4,500DR	4,815.00DR	4.82
Stock W	800 (long)	USD510DR	3,957.60DR	4.95
Stock X	4,000 (long)	HKD40,000DR	40,000.00DR	10.00
Stock X	2,000 (short)	RMB18,000CR	19,260.00CR	9.63
Stock X	800 (long)	USD1,025DR	7,954.00DR	9.94

**this example assumes the exchange rate for USD to HKD is 7.76:1 and RMB to HKD is 1.07:1.*

Pursuant to the same stock netting, the outstanding short stock position of 3,000 in stock W traded in HKD counter will be first offset against the outstanding long position of 800 in stock W traded in USD counter with the highest unit price, then 1,000 in stock W traded in RMB counter.

In the case of stock X, the outstanding short stock position of 2,000 in stock X traded in RMB counter will be offset against the outstanding long stock position of 4,000 in stock X traded in HKD counter with the highest unit price.

The result will be as follows:

Stock	Stock positions offset under same stock netting	Money positions offset under same stock netting	Unsettled stock positions after same stock netting	Unsettled money positions after same stock netting
Stock W	1,800 (short)	HKD9,000CR*	1,200 (short)	HKD6,000CR
Stock W	1,000 (long)	RMB4,500DR	Nil	Nil
Stock W	800 (long)	USD510DR	Nil	Nil
Stock X	2,000 (long)	HKD20,000DR**	2,000 (long)	HKD20,000DR
Stock X	2,000 (short)	RMB18,000CR	Nil	Nil
Stock X	Nil	Nil	800 (long)	USD1,025DR

* The amount HKD9,000 is derived from HKD15,000 x 1,800 / 3,000
** The amount HKD20,000 is derived from HKD40,000 x 2,000 / 4,000

10.3.9 Example (same stock netting for Multi-counter Eligible Securities - stock positions both long or both short)

The concept of same stock netting process involving two stock positions of the same direction of a Multi-counter Eligible Security traded in different Eligible Currencies can be illustrated by using the following example.

Participant A has the following two positions in stock X traded in different Eligible Currencies on S-day.

Due settlement date of stock positions	Unsettled stock positions	Money positions
S	2,000(short)	RMB2,200CR
S	3,000(short)	HKD3,600CR

On S-day, Participant A will have an aggregate short stock position of 5,000 in stock X. However, for the purpose of settlement under the System, the two stock positions under different Eligible Currencies will remain separate and distinct. No same stock netting will be performed if all outstanding positions are in the same direction.

Settlement may be effected in respect of the two stock positions in stock X on S-day.

10.3.10 Example (cross-day netting and same stock netting for Multi-counter Eligible Securities – opposite stock positions)

The sequence of netting in respect of a Multi-counter Eligible Security will be (i) cross-day netting of the same Eligible Currency; then (ii) same stock netting for stock positions in the opposite direction in respect of different Eligible Currencies. The netting processes can be illustrated by using the following example:

At the beginning of a S-day, Participant A has the following unsettled positions in stock X before settlement on the day begins.

Due settlement date of stock positions	Unsettled stock positions	Money positions

S-1	6,500 (long)	HKD13,000DR
S-1	500 (long)	RMB870DR
S	3,000 (long)	HKD3,600DR
S	7,700 (short)	RMB14,050CR

At the beginning of S-day, two opposite stock positions under the same Eligible Currency of different settlement dates will be offset. No cross-day netting will be performed for stock X traded in HKD counter as the outstanding positions for both S-1 and S are long positions. For stock X traded in RMB counter, the cross-day netting will be as follows-:

Stock positions	**Stock positions offset under cross-day netting**	**Money positions offset under cross-day netting**	**Unsettled stock positions after cross-day netting**	**Unsettled money positions after cross-day netting**
S-1	500 (long)	RMB870DR	Nil	Nil
S	500 (short)	RMB912CR*	7,200 (short)	RMB13,138

* The amount RMB912 is derived from RMB14,050 x 500 / 7,700

As a result of cross-day netting, Participant A has a net short stock position of 7,200 in stock X traded in RMB counter (with a corresponding money position of RMB13,138 CR). The amount of RMB42 (RMB912 – RMB870) arising out of the process will be credited by HKSCC to the Settlement Account (a sub-account of its Money Ledger) of Participant A for settlement on the same day.

After cross-day netting, the outstanding unsettled stock positions of stock X will be as follows:

Due settlement date of stock positions	**Unsettled stock positions**	**Money positions**
S-1	6,500 (long)	HKD13,000DR
S	3,000 (long)	HKD3,600DR
S	7,200 (short)	RMB13,138CR

Following cross-day netting and prior to the Batch-settlement-runs, the following same stock netting for stock X will be conducted:

(i) Settle with the oldest first

Stock Positions	Stock positions offset under same stock netting	Money positions offset under same stock netting	Unsettled stock positions after same stock netting	Unsettled money positions after same stock netting
S-1	6,500 (long)	HKD13,000.00DR	Nil	Nil
S	6,500 (short)	RMB11,860.69CR	700 (short)	RMB1,277.31CR

(ii) Settle with the latest

Stock Positions	Stock positions offset under same stock netting	Money positions offset under same stock netting	Unsettled stock positions after same stock netting	Unsettled money positions after same stock netting
S	700 (long)	HKD840.00DR*	2,300 (long)	HKD2,760.00DR
S	700 (short)	RMB1,277.31CR	Nil	Nil

* The amount HKD840 is derived from HKD3,600 x 700 / 3,000

As a result of same stock netting, Participant A has a net long stock position of 2,300 in stock X (with a corresponding money position of HKD2,760 DR) to be settled on S-day. Assuming such net long stock position of 2,300 in stock X has been settled during subsequent Batch-settlement-run on S-day. The total amounts arising out of the money positions offset under cross-day netting, same stock netting and Batch-settlement-run will be debited/credited by HKSCC to the Settlement Account (a sub-account of its Money Ledger) of Participant A for settlement on the same day.

The money positions of different CNS stock positions of a Participant in the same Multi-counter Eligible Securities will continue to be treated as separate and distinct. As such, HKD16,600 DR (HKD13,000 + HKD3,600) and RMB 13,180 CR (RMB14,050 – RMB870) will be posted to the Money Ledger of Participant A.

10.5 MONEY SETTLEMENT UNDER THE CNS SYSTEM

10.5.2 Money position of daily net CNS stock positions

For Exchange Trades in the same Eligible Security effected on the same day and accepted for settlement under the CNS System (and effected by the same Special Participant in the case of a Clearing Agency Participant which is a China Connect Clearing House), there will be one daily net stock position, as described in Section 10.3.1(ii), provided that, with respect to Multi-counter Eligible Security, there will be one daily net stock position in each of the Eligible Currency traded.

This daily net CNS stock position of a Participant will have a corresponding net money position, derived from offsetting the money positions of the underlying Exchange Trades. This is illustrated in the examples set out in Sections 10.3.3 and 10.3.7.

The net money positions derived from offsetting the money positions of the underlying Exchange Trades of a Participant in each Eligible Security in the same Eligible Currency (and in respect of each of its designated Special Participants in the case of a Clearing Agency Participant which is a China Connect Clearing House) on the same day will be offset against each other to result in a total net money position with HKSCC on each Settlement Day.

10.5.3 Money position of CNS stock positions after cross-day netting

If two opposite CNS stock positions of a Participant in the same Eligible Security are offset against each other as a result of cross-day netting as described in Section 10.3.1(iii), the money positions of the two CNS stock positions (or, in the case of a Clearing Agency Participant which is a China Connect Clearing House, the money positions of the two CNS stock positions in respect of each of its designated Special Participants) will also be offset against each other to result in a sum to be settled between HKSCC and the Participant concerned. Any unsettled CNS stock position will also have a corresponding money position. The position is illustrated in the examples set out in Sections 10.3.4 to 10.3.6 and 10.3.10.

The money positions of two CNS stock positions of a Participant (or, in the case of a Clearing Agency Participant which is a China Connect Clearing House, the money positions of two CNS stock positions in respect of each of its designated Special Participants) in the same Eligible Security (and, in the case of Multi-counter Eligible Securities, in respect of the same Eligible Currency traded) (such CNS stock positions being both long or both short), will continue to be treated as separate and distinct.

10.5.3A Money position of CNS stock positions after same stock netting for Multi-counter Eligible Securities

If multiple opposite CNS stock positions of a Participant in the same Multi-counter Eligible Security traded in different Eligible Currencies are offset against each other as a result of same stock netting as described in Section 10.3.1(iv), the corresponding money positions of such different CNS stock positions (or, in the case of a Clearing Agency Participant which is a China Connect Clearing House, the money positions of different CNS stock positions in respect of each of its designated Special Participants) in different Eligible Currencies will not be offset against each other, and will each be posted to Money Ledger to be settled between HKSCC and the Participant concerned. Each unsettled CNS stock position will also have its corresponding money position. The position is illustrated in the examples set out in Sections 10.3.8 to 10.3.10.

The money positions of different CNS stock positions of a Participant (or, in the case of a Clearing Agency Participant which is a China Connect Clearing House, the money positions of different CNS stock positions in respect of each of its designated Special Participants) in the same Multi-counter Eligible Security (such CNS stock positions being all long or all short), will continue to be treated as separate and distinct.

10.8 LATE DELIVERY : BUY-IN

10.8.2 Timing of Buy-in

Unless (i) HKSCC grants an exemption under Section 10.8.3, (ii) there is a risk management reason affecting HKSCC, which is considered valid by the Risk Management Committee or (iii) a Buy-in has been executed by HKSCC pursuant to Rule 3501(iv) in respect of the short CNS stock positions of a Participant, HKSCC shall have the right, but shall not be obliged, to effect a Buy-in on behalf of the short Participant on T+3 (or if it is not practicable to do so on T+3, at any time thereafter) as HKSCC in its absolute discretion considers appropriate in respect of short stock positions of a Participant under the CNS System which are outstanding for settlement on the due date (i.e., unsettled after settlement processing on T+2).

A Buy-in trade executed by HKSCC on behalf of the short Participant on or off the Exchange will normally be settled under the CNS System, subject to the usual T+2 settlement period and will go through the substitution process (where applicable) and normal novation, daily netting, ~~and~~ cross-day netting and same stock netting processing.

10.8.3 Exemption from Buy-in

HKSCC may grant an exemption from a Buy-in on behalf of a short Participant on T+3 if such Participant is able to provide HKSCC with satisfactory evidence in accordance with Section 10.8.4 that a ground for exemption as set out below applies:

(xi) in respect of transactions in Eligible Securities which are subject to parallel trading on the Exchange ~~or transfers of Multi-counter Eligible Securities as referred to in Rule 816A or Rule 1008~~, the Participant applying for exemption or the delivering Participant has: (a) long positions in Eligible Securities of the relevant issuer ~~or Multi-counter Eligible Securities of the relevant issuer (as the case may be)~~; or (b) sufficient Eligible Securities of the relevant issuer ~~or Multi-counter Eligible Securities of the relevant issuer (as the case may be)~~ in its Stock Account, which following conversions of such long positions or holdings of Eligible Securities (as applicable) ~~or transfers of Multi-counter Eligible Securities~~ in CCASS, are sufficient to settle the relevant short positions on T+2;

10.8.5 Buy-in process by HKSCC on behalf of a short Participant

The following explains the process of Buy-in by HKSCC on behalf of a short Participant in greater detail:

(i) in respect of the short stock positions of a short Participant under the CNS System still outstanding at the end of the due date (i.e., T+2), a Buy-in Notification Report containing such outstanding short stock positions will be generated by HKSCC. Unless (a) HKSCC grants an exemption under Section 10.8.3, (b) there is a risk management reason affecting HKSCC which is considered valid by the Risk Management Committee or (c) a Buy-in has been executed by HKSCC pursuant to Rule 3501(iv) in respect of the short CNS stock positions of a short Participant, HKSCC shall have the right, but shall not be obliged, to effect Buy-in on T+3 (or if it is not practicable to do so on T+3, at any time thereafter) as HKSCC in its absolute discretion considers appropriate of all outstanding short stock positions stated in the Buy-in Notification Report;

(ii) the Buy-in Notification Report will be available to the short Participant through its CCASS Terminals and Participant Gateways after the final Batch-settlement-run;

(iii) the short Participant may apply for exemption from Buy-in to HKSCC in accordance with the provisions of section 10.8.4;

(iv) HKSCC may instruct its authorized brokers to assist in effecting a Buy-in on or off the Exchange;

(v) HKSCC shall effect a Buy-in at what it determines to be the best prevailing market price and terms available (but taking into account HKSCC may need to act promptly and provided that HKSCC, the Exchange, and a recognized exchange controller which is the controller of HKSCC shall have no liability if HKSCC acts in good faith). The short Participant shall be liable to and shall indemnify HKSCC, the Exchange, and a recognized exchange controller which is the controller of HKSCC against all costs and expenses incurred by HKSCC in connection with the Buy-in;

(vi) after effecting such a Buy-in, the relevant Buy-in details will be available to the short Participant via the CCASS enquiry function of "Enquire Buy-in Confirmation". The relevant Buy-in details will also be posted under the section "Buy-in Confirmation" in the Buy-in

Notification Report; and

(vii) upon receipt of confirmation of good funds in relation to the cost of the Buy-in, Eligible Securities received under the Buy-in will be delivered to the short Participant.

With respect to a Buy-in of a Multi-counter Eligible Security, under normal circumstances, such Buy-in will be effected in the trading counter in HKD. HKSCC reserves the right to execute the Buy-in in any other trading counter of such Multi-counter Eligible Security in its absolute discretion as it may think fit.

10.10 RISK MANAGEMENT : MARKS

10.10.1 General

As settlement counterparty to Participants under the CNS System, HKSCC is exposed to market risks as a result of unfavourable fluctuations of prices in respect of the unsettled stock positions of Participants under the CNS System. In this Section 10.10, any unsettled stock positions in Eligible Securities under the CNS System are referred to as "CNS stock positions", provided that, in respect of a Multi-counter Eligible Security, all its CNS stock positions will be considered on a cross-currency offset basis for risk management calculation purpose using the methodology set out in the RMS Guide.

To monitor and control such risk exposure, HKSCC will Mark-to-market the CNS stock positions of Participants and collect Marks from Participants. In respect of the CNS stock positions in any Eligible Security, HKSCC will compute Marks in accordance with the provisions of this Section 10.10 in the Eligible Currency in which that Eligible Security is traded (or, in the case of a Multi-counter Eligible Security, in such Eligible Currency as designated by HKSCC from time to time).

HKSCC will collect Marks from the Participant in Hong Kong dollar unless the Participant has maintained a Preferred Single Settlement Currency in another currency or unless the Marks are to be collected from a Clearing Agency Participant.

Where the Eligible Currency in which an Eligible Security is traded is not Hong Kong dollar, HKSCC will convert Marks in the Eligible Currency to Hong Kong dollar at such exchange rate and subject to such haircut as determined by HKSCC from time to time. Where the Participant has maintained a Preferred Single Settlement Currency which is not Hong Kong dollar, HKSCC will further convert Marks from Hong Kong dollar to the Preferred Single Settlement Currency at such exchange rate and subject to such haircut rate as determined by HKSCC from time to time, and collect Marks from the Participant in the Preferred Single Settlement Currency. Notwithstanding the foregoing, HKSCC reserves the right to collect the required amount of Marks in any Eligible Currency.

Where the Participant is a Clearing Agency Participant which is a China Connect Clearing House, Marks will be computed and collected from or redelivered to such Participant separately in respect of each of its designated Special Participants with reference to the CNS stock positions arising from Exchange Trades executed by such Special Participant, and references to the CNS stock positions of a Participant in this Section 10.10 shall be construed accordingly for such Clearing Agency Participant. HKSCC will convert the Marks to Renminbi at such exchange rate and subject to such haircut rate as determined by HKSCC from time to time and collect the Marks from the Clearing Agency Participant in Renminbi. Unless HKSCC otherwise agrees, the Clearing Agency Participant shall pay Marks to HKSCC in Renminbi. Notwithstanding the foregoing, HKSCC reserves the right to collect the required amount of Marks in any Eligible Currency.

Mark-to-market of a CNS stock position involves the evaluation of the risk exposure of a Participant to HKSCC relating to the CNS stock position by reference to the extent to which the Mark-to-market value of the CNS stock position has moved against the value originally agreed in respect of such CNS stock position.

Under the Rules, HKSCC has the right to collect Marks from Participants in respect of all CNS stock positions, whether or not due for settlement and whether or not such CNS stock positions may be subsequently amended or excluded or not accepted for settlement under the CNS System in accordance with the Rules.

Marks will normally be collected in the form of cash. HKSCC may in exceptional cases collect Marks in the form of Collateral Securities acceptable to it.

This Section 10.10 describes the extent to and the manner in which Marks from Participants will be collected and redelivered by HKSCC.

The provisions of this Section 10.10 shall also be applicable, in so far as they are relevant to risk management measures detailed in Section 12.2.9(i), in respect of Clearing Agency Transactions.

10.10.3 Computation of Marks

The value of the Mark on a CNS stock position of a Participant is the difference between:

(i) the money position of that CNS stock position (see Section 10.5.2); and

(ii) the prevailing market value of such CNS stock position (as determined by HKSCC).

The Marks on CNS stock positions of any Eligible Security, other than any Multi-counter Eligible Security, will first be calculated and denominated in the Eligible Currency in which the Eligible Security is traded. In respect of a Multi-counter Eligible Security, all its CNS stock positions under different Eligible Currencies will be offset against each other first and then Marks will be calculated in Hong Kong dollars by converting the value of any non-Hong Kong dollar positions into Hong Kong dollars subject to such haircut as determined by HKSCC from time to time. Favourable Marks and Unfavourable Marks in the same Eligible Currency will offset against one another to arrive at the Favourable Marks or Unfavourable Marks in that Eligible Currency.

Favourable Marks or Unfavourable Marks in an Eligible Currency will then be offset against the Unfavourable Marks or Favourable Marks, as the case may be, in other Eligible Currencies in the sequence as HKSCC considers appropriate to arrive at the Net Favourable Marks or Net Unfavourable Marks on the CNS stock positions. For the purpose of performing such cross-currency offset, Favourable Marks and Unfavourable Marks in Eligible Currencies other than Hong Kong dollar will be converted to Hong Kong dollar equivalent at such exchange rate and subject to such haircut rate as determined by HKSCC from time to time for computation.

Where a Participant has provided the relevant quantity of Collateral Security to cover a part or the whole of a short CNS stock position not due for settlement to HKSCC pursuant to Rule 3601, the short CNS stock position covered by the Collateral Security will be waived from computation of Marks. HKSCC has absolute right to use such Collateral Security to settle the covered portion of the short CNS stock position on or before its Settlement Day.

Where a Participant has provided the relevant amount of Specific Cash Collateral to cover the corresponding money position of a part or the whole of a long CNS stock position not due for settlement to HKSCC pursuant to Rule 3601, the long CNS stock position covered by the Specific Cash Collateral will be waived from computation of Marks. HKSCC has absolute right to use such Specific Cash Collateral to settle the money position of the covered portion of the long CNS stock position on or before its Settlement Day.

10.10A RISK MANAGEMENT: MARGIN

10.10A.1 General

As settlement counterparty to Participants under the CNS System, HKSCC is exposed to market risks as a result of potential unfavourable fluctuations of prices in respect of the unsettled stock positions of Participants under the CNS System. In this Section 10.10A, any unsettled stock positions in Eligible Securities under the CNS System are referred to as "CNS stock positions", provided that, in respect of a Multi-counter Eligible Security, all its CNS stock positions will be considered on a cross-currency offset basis for risk management calculation purpose using the methodology set out in the RMS Guide.

To monitor and control such risk exposure, HKSCC will compute Margin on the CNS stock positions of Participants and collect Margin from Participants. In respect of the CNS stock positions in any Eligible Security, HKSCC will compute Margin in accordance with the provisions of this Section 10.10A in the Eligible Currency in which that Eligible Security is traded (or, in the case of a Multi-counter Eligible Security, in such Eligible Currency as designated by HKSCC from time to time).

10.10A.2 Computation of Margin

(i) Margin requirement

The Margin requirement on CNS stock positions of a Participant will be computed in accordance with the methodology referred to in the Initial Margin Calculation Guide.

The amount of Margin requirement on CNS stock positions in an Eligible Security is computed in Hong Kong dollar. Where the Clearing Participant has maintained a Preferred Single Settlement Currency which is not Hong Kong dollar, HKSCC will convert Margin calculated in Hong Kong dollar to the Preferred Single Settlement Currency at such exchange rate and subject to such haircut rate as determined by HKSCC from time to time, and collect Margin from the Clearing Participant in the Preferred Single Settlement Currency. Notwithstanding the foregoing, HKSCC reserves the right to collect the required amount of Margin in any Eligible Currency.

For the avoidance of doubt, HKSCC has the right to compute Margin requirement using other methods and assumptions as HKSCC may from time to time consider appropriate.

(ii) Marginable Position

Marginable Position refers to the CNS stock positions included in the computation of Margin using a hybrid approach or such other methodology as may from time to time be determined by HKSCC and referred to in the Initial Margin Calculation Guide. Marginable Positions can be broadly divided into three categories, which are summarised as follows:

(i) primary tier (Tier P) positions: subject to portfolio margining and minimum margin levels prescribed by HKSCC from time to time;

(ii) non-constituent Tier (Tier N) positions: subject to a flat Margin Rate and margin multipliers prescribed by HKSCC from time to time; and

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(iii) corporate action entitlement positions: subject to a flat Margin Rate prescribed by HKSCC from time to time.

In respect of the methodology of categorisation, please refer to the Initial Margin Calculation Guide.

Multi-counter Eligible Securities of the same class of an Issuer ~~are treated as different positions and~~ will ~~not~~ be netted against each other for the determination of the Mark-to-market value of the CNS stock positions as mentioned above.

Section 13

Securities Settlement

13.1.1A **~~Intra-day Counter Transfer Instructions~~ [Repealed]**

~~With respect to certain Multi-counter Eligible Securities designated by HKSCC from time to time, a Clearing Participant or Clearing Agency Participant may submit Intra-day Counter Transfer Instructions to HKSCC at or before 3:00 p.m. on a Settlement Day, via CCASS Terminal or such other means as may be specified by HKSCC from time to time, to facilitate settlement of such Multi-counter Eligible Securities at the final Batch-settlement-run at 3:45 p.m.~~

~~A Clearing Participant or Clearing Agency Participant may submit one-off or standing Intra-day Counter Transfer Instructions to HKSCC. Pursuant to an Intra-day Counter Transfer Instruction provided by a Clearing Participant or Clearing Agency Participant, HKSCC will compare the availability of the Multi-counter Eligible Securities under the different stock codes in its Stock Clearing Account and will, to the extent there is a shortfall in one stock code to meet its delivering obligations for settlement and a surplus in another stock code, effect an automatic transfer of surplus Multi-counter Eligible Securities from the other stock code to such stock code up to the amount of the shortfall provided that the Multi-counter Eligible Securities concerned are of the same class.~~

~~Any standing Intra-day Counter Transfer Instruction submitted by a Clearing Participant or Clearing Agency Participant authorizes HKSCC to generate recurring Intra-day Counter Transfer Instructions on its behalf on each Settlement Day. Clearing Participants and Clearing Agency Participants are requested to refer to the CCASS Terminal User Guide for further information on the use of the relevant maintenance function.~~

13.3 SETTLEMENT BY BATCH-SETTLEMENT-RUNS

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13.3.4 Delivery - processing sequence of short positions

In the case of CNS short stock positions in the same Eligible Security of a Participant, the oldest CNS short stock position of a Participant will be settled first in a Batch-settlement-run. In case of Isolated Trades (including Clearing Agency Transactions) in the same Eligible Security, settlement processing will be in the following order:

(i) age (oldest) - the trade which has remained unsettled for the longest time; and if this is the same, then

(ii) price (highest) - the trade which has the highest position price (i.e. position amount divided by position quantity, and for Multi-counter Eligible Securities, converted into the HKD equivalent at the exchange rate determined by HKSCC from time to time for any non-HKD position price); and if this is the same, then

(iii) position (smallest) - the trade which has the smallest position size (i.e. quantity); and if this is the same, then

(iv) random.

13.4 ALLOCATION ALGORITHM FOR LONG CNS STOCK POSITIONS

13.4.1 Allocation algorithm

For each Eligible Security, upon receipt of Eligible Securities from Participants and, in the case of China Connect Securities, the relevant China Connect Clearing House and China Connect Clearing Participants, with short CNS stock positions (whether by DIs or as a result of Batch-settlement-runs) HKSCC will allocate such Eligible Securities to the Stock Clearing Accounts of Participants with long CNS Stock positions based on the following allocation algorithm:

(i) age (oldest) - the long CNS stock position which has remained unsettled for the longest period of time; and if this is the same for two CNS stock positions, then

(ii) position price (highest) - the long CNS stock position which has the highest position price (i.e. position amount divided by position quantity, and for Multi-counter Eligible Securities, converted into the HKD equivalent for any non-HKD position price); and if this is the same for two CNS stock positions, then

(iii) position size (smallest) - the long CNS position which has the smallest position size (i.e. quantity); and if this is the same for two CNS stock positions, then

(iv) random.

At any time, one Participant may have received partial delivery in respect of its long CNS stock position in a particular Eligible Security.

Section 14

CCASS Money Settlement

14.4 DDIs AND DCIs

14.4.4 Default of payment by Participants other than Investor Participants

If HKSCC is notified of a rejected DDI by the Designated Bank of a Participant other than an Investor Participant, the Participant will be regarded as having defaulted and will be subject to such action or actions as HKSCC may wish to take under the Rules.

Without prejudice to HKSCC’s right to take any action under the Rules, HKSCC may attempt to contact the defaulting Participant and may demand that the defaulting Participant make payment to HKSCC by such means as specified by HKSCC from time to time and before such time or times as HKSCC may specify.

HKSCC, if it is able to contact the defaulting Participant, will usually demand the defaulting Participant to provide HKSCC with an explanation for the default and assurances as determined by HKSCC to ensure that the default will be cured promptly. HKSCC may also contact the Designated Bank of the defaulting Participant to ascertain the reasons for the default. Interest will be charged by HKSCC.

A defaulting Participant (other than an Investor Participant) will be subject to such disciplinary action as may be deemed appropriate by HKSCC, upon the occurrence of any such default or any of the following events :

(i) a Participant rejects or fails to comply with HKSCC's demand for payment;

(ii) a Participant fails to provide an explanation for its default or fails to provide HKSCC with assurances that the default will be cured.

HKSCC reserves the right not to effect payment in respect of any DCIs issued in favour of a defaulting Participant, in the event that any DDI issued is rejected or any CPI issued in relation to China Connect Securities Trades remains unpaid after the stipulated deadline.

HKSCC reserves the right not to effect payment in respect of any DCIs issued in favour of a defaulting Participant, in the event that any DDI issued is rejected. To monitor and control the risk exposure of HKSCC in settlement of money positions relating to Multi-counter Eligible Securities that are subject to the same stock netting process, in the event that a Designated Bank rejected a DDI of a Clearing Participant or Clearing Agency Participant (except where the Clearing Agency Participant is a China Connect Clearing House) at or before 5:45 p.m. on a Settlement Day, the corresponding DCI of such Clearing Participant or Clearing Agency Participant will, unless otherwise determined by HKSCC in its absolute discretion, be rejected.

Where a Clearing Participant or a Clearing Agency Participant defaults in payment, HKSCC will normally notify the Exchange.

For any DDI issued by HKSCC in connection with a Participant's instruction on nominee and similar services (including, but not limited to, Tender Instructions), if payment is not received by HKSCC, HKSCC reserves the right not to act on the defaulting Participant's instruction until such time when payment is received by HKSCC. If any deadline for implementing such instruction is breached as a result of any default of payment by the Participant, HKSCC, the Exchange, and a recognized exchange controller which is the controller of HKSCC will not be liable for any losses or damages that may be suffered by the defaulting Participant.

Section 15

Enquiry Services

15.2 USE OF VARIOUS ENQUIRY FUNCTIONS AVAILABLE

The various enquiry functions provided by CCASS that are available for access and the purpose of accessing each such function are set out below:

(i) Available to Participants other than Investor Participants:

(ba) "Enquire Sellable Balance Adjustment Request" function: to enquire about the details of any sellable balance adjustment request due to SPSA Delivery Failure input by a China Connect Clearing Participant on current day;

(bb) "Enquire Shareholding Category Disclosure" function: to enquire about the details of any Shareholding Category Disclosure made in respect of China Connect Securities; and (bc) [Repealed]~~"Enquire Intra-day Counter Transfer Standing Instruction" function: to enquire about the status and details of any Intra-day Counter Transfer Standing Instruction; and~~

(bd) [Repealed]~~"Enquire Intra-day Counter Transfer Instruction" function: to enquire about the status and details of any Intra-day Counter Transfer Instruction.~~

(be) "Enquire Multi-counter Settlement Mapping" function: to enquire about the authorized multi-counter settlement mapping.

Section 16

Statements and Reports

16.6 REPORTS AND STATEMENTS FOR PARTICIPANTS

16.6.1 Reports and Statements for Participants other than Investor Participants to be retrieved from CCASS Terminals or Participant Gateways

Report ID	Report name	Frequency	Time available
CSEAS07	A-share Sellable Balance Adjustment Audit Trail Report	Daily	from the time when the report retrieval function is available
~~CSEIC01~~	~~Intra-day Counter Transfer Standing Instruction Maintenance A/T Report~~	~~Daily~~	~~from the time when the report retrieval function is available (for previous day's maintenance activity)~~
~~CSEIC02~~	~~Intra-day Counter Transfer Instruction Maintenance A/T Report~~	~~Daily~~	~~from the time when the report retrieval function is available (for previous day's maintenance activity)~~
CCVTF01	Inter-counter	Daily	from the time when the report retrieval

	Transfer/Conversion Instruction Activities Report		function is available (for previous day's processed ~~Multi-counter Transfer Instructions and~~ Parallel Trading Conversion Instructions)
~~CCVTF03~~	~~Multi-counter Transfer Instruction Batch Input Control Report~~	~~After each batch validation~~	~~shortly after completion of each batch validation run on uploaded files containing Multi-counter Transfer Instructions scheduled at around 9:15 a.m., 10:15 a.m., 12:30 p.m. and 2:30 p.m. (for status of Multi-counter Transfer Instruction batch uploads)~~
CCVTF05	Parallel Trading Conversion Instruction Batch Input Control Report	After each batch validation	shortly after completion of each batch validation run on uploaded files containing Parallel Trading Conversion Instructions scheduled at around 9:15 a.m., 10:15 a.m., 12:30 p.m. and 2:30 p.m. (for status of Parallel Trading Conversion Instruction batch uploads)
CCDCM02	Multi-counter Settlement Mapping Data Download File	Daily	from the time when the report retrieval function is available (for active mapping as of the file generation time)

Section 21

Costs and Expenses

In this Section 21, references to "HKD" or "HK$" mean Hong Kong Dollar; references to "CNY" mean Chinese Yuan (Renminbi) and references to "USD" mean US Dollar.

21.5 DEPOSITORY AND NOMINEE SERVICES

- ~~Multi-counter eligible securities transfer fee for the transfer of Multi-counter Eligible Securities of an Issuer from one stock code to another stock code.~~	~~NIL~~

~~*Notes:*~~

~~Fee debited on date of submission of instruction.~~

Section 22

Tariff for Investor Participants

In this Section 22, references to "HKD" or "HK$" mean Hong Kong Dollar; references to "CNY" mean Chinese Yuan (Renminbi) and references to "USD" mean US Dollar.

22.2 DEPOSITORY AND NOMINEE SERVICES

- ~~Multi-counter eligible securities transfer fee for the transfer of Multi-counter Eligible Securities of an Issuer from one stock code to another stock code.~~	~~NIL~~

~~*Notes:*~~

~~Fee debited on date of submission of instruction.~~